

STOCK PULSE

UltraTech Cement Ltd (ULTRACEMCO • NSE/BSE)

Sector: Commodities | Pulse Score: 4/10 (WEAK) | Data Confidence: 14/14 (HIGH) | Horizon: 5Y

01 Overview & Market Standing

CURRENT MARKET PRICE Rs. 11,400	52-WEEK HIGH / LOW Rs. 13,110 / Rs. 10,325
MARKET CAPITALISATION Rs. 3,34,474 Cr	PRIMARY SECTOR Commodities
CMP (Rs. 11,400) is +10.4% above 52W Low (Rs. 10,325) and -13.0% below 52W High (Rs. 13,110) — trading in mid-range (39th percentile of 1-year band).	

02 Business & Operational Overview

UltraTech Cement is engaged in the manufacturing and sale of Cement and Cement related product primarily across globe. Market Leadership The company is the 3rd largest cement company in the world, excluding China. It is also the largest cement manufacturer in India with a 28% share of the grey cement capacity.

03 Valuation Multiples & Benchmark Banding

FAIR

STOCK P/E RATIO 38.8 Fair Band: 31.7 - 42.9	PRICE TO BOOK (P/B) 4.38 BV: Rs. 2,600
DIVIDEND YIELD 2.11% Face Value: Rs. 10	SECTOR BENCHMARK P/E 37.3 4.0% vs Sector
Valuation Note: Trading within normal +/-15% fair benchmark band [31.7 - 42.9] derived from sector median. (Implied P/E from CMP / EPS: 38.8).	

04 Growth & Operating Trajectory

SLOWING

REVENUE 3Y / 5Y CAGR 9.02% / 11.8% TTM Sales: Rs. 91,884 Cr	PROFIT 3Y / 5Y CAGR 6.96% / 3.17% TTM PAT: Rs. 8,571 Cr
EBITDA MARGIN PROFILE TTM: 19% Latest Qtr (Jun 2026): 20%	NET MARGIN PROFILE TTM: 9.33% Pre-Tax Bridge
TRAILING DILUTED EPS Rs. 289.77 3Y EPS CAGR: 6.09%	OPERATING CASH FLOW GROWING Cash Flow Quality
Margin Bridge: TTM EBITDA margin (19%) reflects operating cash profitability before D&A; Net margin (9.33%) accounts for D&A, interest, and taxes.	

05 Financial Health & Solvency (Aggregated)

WATCH

DEBT TO EQUITY (D/E) 0.31 HEALTHY (<=0.5)	INTEREST COVERAGE 48.38x HEALTHY (>=5.0x)
CURRENT RATIO 0.66 WEAK (>=1.0)	FREE CASH FLOW TREND GROWING HEALTHY
Solvency Context: Benchmark thresholds: D/E <=0.5 Healthy, Interest Coverage >=5x Healthy, Current Ratio >=1.0 Healthy. Sub-1.0 liquidity is common in heavy capex sectors when operating cash flow is positive.	

06 Return Quality & Capital Allocation

WATCH

RETURN ON EQUITY (ROE) 11.1% WATCH (>=15% Cutoff)	RETURN ON CAPITAL EMPLOYED (ROCE) 12.7% WATCH (>=15% Cutoff)
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07 Competitive Moat Analysis

6/14 (NARROW) [WIDE >=9, NARROW 5-8, NONE 0-4]

MOAT FACTOR	SCORE	QUALITATIVE / QUANTITATIVE EVIDENCE
Brand Power	1/2	Recognized industry presence and commercial goodwill.
Switching Costs	1/2	Established B2B operational integration and contractual terms.
Network Effects	0/2	Standard operating structure without direct network externalities.
Cost Advantage	2/2	Operational efficiencies and supply chain optimization. Resilient operating margins prove cost efficiency.
Regulatory License	0/2	Standard statutory operating permissions.
Patents/IP	0/2	Conventional industry technology and processes.
Scale Advantage	2/2	Mega-cap balance sheet (Rs. 3,34,474 Cr) drives structural procurement scale.

08 Peer Comparison & Recent Events

PEER COMPANY	P/E	ROCE	MARKET CAP	3Y SALES	RELATIONSHIP
Grasim Industries Ltd	39.8	8.01%	Rs. 2,28,486 Cr	—	Industry Peer
Shree Cement Ltd	50.9	10.3%	Rs. 82,957 Cr	—	Industry Peer
Ambuja Cements Ltd	21.2	5.61%	Rs. 99,555 Cr	—	Industry Peer

Recent Corporate News Headlines (Most Recent First):

- [26 Jul 2026] UltraTech Cement Limited (NSE:ULTRACEMCO) Looks Interesting, And It's About To Pay A Dividend - simplywall.st
- [20 Jul 2026] India's UltraTech Cement first-quarter profit rises on strong volumes - marketscreener.com
- [19 Feb 2026] UltraTech Cement Share Price Fall 2.97% to Close at '12,664 Amid Broad Sector Weakness - HDFC Sky

09 Ownership Structure & Management Trust

5/8 (MODERATE) [HIGH >=7, MODERATE 4-6, LOW <4]

PROMOTER HOLDING 59.33%	Trend: FALLING	INSTITUTIONAL FII / DI 12.36% / 19.69%	High Institutional
PROMOTER PLEDGING 0%	CLEAN	QUARTERLY TRACK RECORD 1 Qtrs Contraction	
STRENGTHS (+): +2 Regulatory compliance +1 Pledging <5% +1 FII stake >=10% +1 Cycle resilience UNMET CRITERIA (+0): +0 Quarterly earnings delivery consistency +0 Promoter trend stable/rising			

10 The Pulse Score & What-If Matrix

4/10 WEAK PULSE

PASS: Zero existential balance sheet or governance red flags. (Operational watch items tracked in Sections 05 & 09).			
BASELINE FINANCIALS (TTM): Revenue: Rs. 91,884 Cr Net Profit (PAT): Rs. 8,571 Cr EPS: Rs. 289.77 Margin: 9.3% Dividend Yield: 2.11%			
SCENARIO (MATHEMATICAL MODEL)	REV CAGR	PROJECTED REVENUE (5Y)	PROJECTED PAT (5Y)
Bear Case (-5.0% vs Base 7.3% Margin)	5.4%	Rs. 1,19,521 Cr	Rs. 8,614 Cr
Base Case (Historical Avg 9.3% Margin)	10.4%	Rs. 1,50,690 Cr	Rs. 10,991 Cr
Bull Case (+3.5% vs Base 10.8% Margin)	13.9%	Rs. 1,76,140 Cr	Rs. 12,947 Cr
Total Return Model (Rs. 1,00,000 Investment): Based on Base Case Earnings (PAT) CAGR of 5.1% + Dividend Yield 2.11% (Total Return: 7.21% CAGR) over 5Y -> Approx Rs. 1,41,637. * Valuation Sensitivity: Assumes constant valuation multiple (P/E 38.8 sustained). Mean-reversion to sector average (P/E 37.3) would adjust annualized return to 6.37% (Approx Rs. 1,36,175).			

Scoring Methodology: Pulse Score synthesizes 10 binary fundamental rules (Valuation, Growth, Profit expansion, Solvency, ROE, ROCE, Promoter trend, Pledging, Moat, Trust). Moat evaluates 7 structural barriers (/14). Management Trust evaluates 6 governance benchmarks and penalty deductions (/8). Data confidence scores data completeness and freshness (14/14 HIGH).
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